

**SUBVERTICAL
LENS**

Installed residential equipment and protection plans convert essential household needs into recurring monthly billing. Pricing, premium-equipment mix and cross-sell support growth, while equipment exchange and reinstallation remain the central sustaining-capital burden.

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	5%	A 5% estimate sits below Enercare's 6% revenue growth in 9M 2018, when units grew only 0.6% and pricing and mix did most of the work. Reliance's low-single-digit customer growth before acquisitions also supports a mature organic rate below the disclosed Enercare result.	MEDIUM
EBITDA margin	53%	A 53% estimate sits just below Enercare's disclosed 56% margin. Recurring water-heater rentals carry strong contribution, while Reliance's broader HVAC, technician, dispatch and transactional-service mix should dilute the pure rental result.	MEDIUM
Maintenance capex / revenue	12%	The 12% estimate reflects recurring equipment replacement, removal and reinstallation: Enercare exchanged 33,600 assets in 9M 2018 and found used water heaters uneconomic to redeploy, while Reliance cites 14-16-year equipment lives. Neither company provides a clean sustaining-capex split.	LOW
Customer tenor INITIAL / EFFECTIVE	Initial / effective 7-10 / 18 yrs	Certain Reliance Ontario forms support a 7-10-year initial term. The 18-year effective tenure is a normalized assumption because billing can continue monthly, equipment can be replaced at the same address and Enercare reported 1.9% rental attrition over nine months; it is not an observed cohort life.	MEDIUM
Utilization exposure	Low-Moderate	Exposure is Low-Moderate because an installed unit earns fixed monthly rent regardless of household usage. The residual risk is account vacancy, equipment removal and seasonal technician or installer capacity rather than consumption volume.	HIGH
New-unit / customer payback	8 yrs	An eight-year estimate triangulates Reliance's C\$1,000-C\$5,500 installed cost against C\$20-C\$100-plus monthly rent, then allows for installation, service and replacement reserves. Direct unit contribution is undisclosed.	MEDIUM
B2B vs B2C	Predominantly B2C	The model is predominantly B2C because roughly 95% of Enercare's rental portfolio was residential water heaters and Reliance primarily markets to homeowners. Builders and property managers may originate accounts, but households remain the economic center.	HIGH

SUBSECTOR
CATEGORIES

Diversified home comfort
Reliance Home Comfort

Rental-led equipment & plans
Enercare

Reliance Home Comfort

DIVERSIFIED HOME COMFORT

Reference data. Acquired in 2017 for about C\$4.6 billion, Reliance grew from 1.8 million customers to 2.1 million by end-2023 before two 2025 U.S. acquisitions. Its mix extends beyond rentals into HVAC, water purification, plumbing, electrical, smart-home and one-time services. Ontario materials show 7-10-year minimums; one offer continues month-to-month after year 10, with 14-16-year heater lives. Current offers show C\$1,000-C\$5,500 installed purchase costs and C\$20-C\$100+ monthly rent, with installation, repair and replacement included. Homeowners are the core customer; direct unit contribution and sustaining capex are undisclosed.

Business. Reliance Comfort Limited Partnership serves more than 2 million customers, mainly in Ontario, with reported western Canadian, Georgia, and Florida operations. It rents and sells water heaters and HVAC and offers water purification, plumbing, electrical, smart-home, and protection plans. It solves urgent hot-water, heating, and cooling needs without upfront purchase or surprise repair risk.

Economics. The core unit is an installed asset at a residential address; plans and one-time jobs are separate units. Reliance funds equipment and installation, retains ownership, bills monthly, provides repair and replacement, and operates technicians, dispatch, and call centers. Essentiality, installation, budget smoothing, transfers, and replacement convenience support retention; moves, buyouts, switching, poor service, repricing, purchase, and technology migration drive churn. Used water heaters have limited redeployment value, so the address relationship is the key residual asset.

Enercare

RENTAL-LED EQUIPMENT & PLANS

Reference data. In 9M 2018, Home Services revenue grew 6% to C\$359.8 million; contracted revenue was C\$332.0 million, EBITDA was C\$201.4 million (56%), units grew 0.6%, average monthly rent rose from C\$24.35 to C\$25.50 and 33.6 thousand assets were exchanged. Rental attrition was 1.9% versus 9.3% for plans. About 95% of rentals were residential water heaters, which were almost never economical to refurbish and reinstall. HVAC rentals generated three to five times heater revenue; sustaining capex and current segment data are unavailable.

Business. Enercare is an Ontario-centric platform serving about 1.1 million customers. The relevant business is Home Services, excluding former Service Experts and submetering. It rents water heaters, HVAC, and water-treatment equipment, sells plans, and performs equipment sales and service, offering predictable cost and outsourced continuity for essential systems.

Economics. The core unit is an installed rental unit, about 95% residential water heaters historically; plans and one-time HVAC jobs are separate. Rentals were 73% of 2017 revenue and plans 20%. Heaters require little scheduled maintenance; HVAC and plans use more field labor. Ownership, installation, response, and buyout or useful-life terms support retention; moves, buyouts, switching, repricing, and poor service cause churn. Used water heaters are replaced rather than redeployed, making exchanges sustaining capital and allowing relationships to continue through replacement.

SUBVERTICAL LENS

The core archetype is Quench's workplace point-of-use model: installed, provider-owned filtration equipment for a recurring fee. Route density and recurring billing support margins, while equipment ownership, service intensity and customer-site turnover constrain conversion and tenure.

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	8%	The 8% estimate sits below Quench's 13.6% organic growth in 2019 because that result is dated and current workplace demand is more exposed to office occupancy. Primo's Refill/Filtration growth is not a clean filtration-only measure.	MEDIUM
EBITDA margin	28%	The 28% estimate is anchored directly to Quench's 2019 result of \$32.4 million of EBITDA on \$115.2 million of revenue. Recurring fees support the margin, while technicians, travel, filters, sanitation and repairs constrain it.	MEDIUM
Maintenance capex / revenue	Not estimated	Sustaining capital should rise with provider-owned unit age, filter and sanitation frequency, service-call intensity and a dispersed route footprint. It should fall with standardized long-life equipment, dense routes, high reuse after redeployment and customer-funded site work.	LOW
Customer tenor INITIAL / EFFECTIVE	Initial / effective 1-12 mos / Not est.	Initial tenor of 1-12 months reflects Quench's month-to-month rentals and Primo's flexible cancellation. Effective tenure is not estimated because neither company discloses churn cohorts or average customer life. It should lengthen with plumbing, included service and multi-unit relationships, and shorten with office closures, moves, downsizing, rebids, poor service and flexible cancellation.	MEDIUM
Utilization exposure	Moderate overall	Exposure is Moderate because fixed fees decouple revenue from water consumption, but a returned machine earns nothing until redeployed. Office occupancy, route density and productivity across Quench's 500-plus technicians remain meaningful variables.	LOW
New-unit / customer payback	Not estimated	Payback should shorten when recurring fees and units per customer are high relative to equipment, installation and acquisition cost, especially within dense routes and long-lived accounts. It should lengthen with plumbing complexity, frequent service, customer churn, idle redeployment time and low technician density.	LOW
B2B vs B2C	Predominantly B2B	The core model is predominantly B2B because Quench explicitly serves workplaces and directs residential users elsewhere. Primo broadens the universe into homes and other channels, but its exact filtration customer mix is undisclosed.	HIGH

SUBSECTOR CATEGORIES		Workplace POU filtration AquaVenture Holdings / Quench	Diversified water platform Primo Water
AquaVenture Holdings / Quench WORKPLACE POU FILTRATION		Reference data. FY2019 Quench had about 160,000 company-owned rental units and 55,000-plus customers (2.9 units per account), with \$115.2 million revenue, \$32.4 million adjusted EBITDA and 13.6% organic growth. Rentals are primarily month-to-month with fixed fees including maintenance and filters, supported by 500-plus technicians. Official materials identify Quench as workplace B2B and direct residential users to Culligan; churn, replacement cycles, installed cost, unit contribution and capex are unavailable. Business. The relevant AquaVenture operation is Quench, excluding Seven Seas Water and desalination. Quench USA, Inc., now a Culligan subsidiary, installs company-owned filtration dispensers for institutional and commercial workplaces in the U.S. and Canada. Fixed-fee plumbed filtration replaces bottle storage, handling, and delivery. Economics. The core unit is a machine; CAC and tenure sit at the customer location. Monthly rent includes maintenance and filters; installation may be separate. Multiple machines spread account setup cost. More than 500 technicians install, inspect, sanitize, change filters, and repair, making route density central. Working equipment, included service, predictable bills, and re-plumbing support retention; office closure, relocation, downsizing, hybrid work, rebids, and poor service cause churn. Returns require recovery, refurbishment, and reinstallation before earning again.	Reference data. FY2023 combined Refill/Filtration revenue was \$226.9 million versus \$192.0 million, so filtration growth is not separable. Customer equipment had \$235.0 million net book value and 2-15-year lives but included non-filtration assets. Plans start at \$27.99 monthly; cancellation without penalty is permitted after the rescission period and takes effect after the next full billing period. Current materials market to homes and businesses, but the mix and filtration-only EBITDA, capex and payback inputs are unavailable. Business. Primo Water's installed filtration offer now sits inside Primo Brands after the November 2024 transaction. It places company-owned carbon or reverse-osmosis systems in homes and businesses, with floor, countertop, and under-sink formats from \$27.99 monthly. It solves taste and convenience needs without bottle logistics or self-managed maintenance. Economics. The core unit is a filtration system; the account governs CAC and cross-sell. Primo owns, installs, leases, maintains, filters, sanitizes, repairs, bills, and sometimes monitors devices. Rolling cancellation lowers sales friction but makes retention depend on convenience, service, price, moves, and cross-sell. Home/business reach reduces office concentration but fragments routes and creates internal purchase, refill, exchange, and delivery substitutes. Cancelled equipment must be recovered and redeployed.

Submetering Operating Benchmark

SUBVERTICAL LENS

Building billing platforms and meter-asset owners are economically distinct. Billing platforms earn recurring data and compliance fees with moderate reinvestment; meter owners report higher EBITDA but require materially heavier replacement capital and longer payback.

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	Building 6% Meter owner 7%	The 6% building-platform estimate is anchored near ista's 5.2% growth and normalizes Techem's stronger result. The 7% meter-owner estimate is deliberately below SMS's 13% ILARR growth because funded rollout and acquisitions inflated reported rates.	MEDIUM
EBITDA margin	Building 47% Meter owner 60%	The 47% building estimate uses Techem's roughly 48% group-level margin and ista's 40%-plus evidence; Techem's submetering revenue is disclosed separately, so this is a normalized proxy rather than a segment margin. The 60% meter-owner estimate sits between SMS and Calisen.	MEDIUM
Maintenance capex / revenue	Building 9% Meter owner 30%	The 9% building-platform estimate reflects device, battery, communications and IT refresh. The 30% meter-owner estimate reflects the heavier replacement capital required by owned estates; rollout and growth capital are not cleanly separated from sustaining spend.	MEDIUM-LOW
Customer tenor INITIAL / EFFECTIVE	Building 8 / 14 yrs Meter owner 3 / 13 yrs	These are modeled terms, not disclosed weighted-average cohorts. Building installation and data migration support an 8-year initial and 14-year effective relationship; meter-owner legal forms can be short, while compensation can survive supplier switching for roughly 13 years.	MEDIUM-LOW
Utilization exposure	Building Low Meter owner Moderate	Building-platform exposure is Low because installed meters continue earning regardless of daily consumption. Meter-owner exposure is Moderate because installation throughput, supplier rollout decisions, meter removals and field-team productivity still matter.	MEDIUM
New-unit / customer payback	Building 4.0 yrs Meter owner 6.0 yrs	The modeled four-year building estimate centers the lower-cost device, billing and data cases. The modeled six-year meter-owner estimate is bounded by disclosed meter capex and annual rent evidence across SMS and Calisen.	MEDIUM-LOW
B2B vs B2C	Building B2B; residential end users Meter owner Predominantly B2B	Building owners and managers contract for submetering even when residents consume the utility and receive bills. Meter owners contract with energy suppliers or retailers, making both archetypes economically B2B.	HIGH

SUBSECTOR CATEGORIES

Building submetering & billing
ista / Techem / CARMA

Meter asset ownership
Smart Metering Systems / Calisen

Mixed metering & utility services
Energy Assets

ista

BUILDING SUBMETERING & BILLING

Reference data. 2025 sales were EUR1,279.0 million versus EUR1,216.1 million, up 5.2%; EBITDA margin evidence was above 40%. Total investment was EUR260 million, or 20.3% of sales, and S&P cited total capex at 12%-15% of revenue; neither measure is sustaining capex.

Business. European platform installing apartment meters and allocators, then providing recurring consumption allocation, billing, data, and sustainability workflows to owners and managers.

Economics. Unit: managed dwelling/device footprint. Regulation-shaped demand and dense estates support margin; access, hardware, resident communication, and data migration deter switching.

Techem

BUILDING SUBMETERING & BILLING

Reference data. 2025 submetering revenue was EUR1,041.5 million versus EUR933.5 million, up 11.6%; adjusted EBITDA was EUR557 million on EUR1,173.4 million group revenue, or 47.5%. Fitch expected about EUR190 million of annual capex in 2023-2025, roughly 16% of 2025 group revenue.

Business. European provider installing apartment devices and monetizing recurring heating/water allocation, billing, data, and digital building services for owners and managers.

Economics. Unit: serviced dwelling/device set. Regulation-shaped demand, radio infrastructure, and embedded billing deter switching; field service and procurement remain costs.

CARMA

BUILDING SUBMETERING & BILLING

Reference data. CARMA meters 135,000-plus units in 1,000-plus buildings under long-term inflation-protected contracts and processes 11 million-plus daily reads; revenue, EBITDA, capex and churn are undisclosed.

Business. Canadian suite-level metering and billing platform helping owners and managers allocate utilities, provide consumption visibility, and administer resident accounts.

Economics. Unit: contracted metered suite. Devices, data, billing, and move workflows likely deter switching; property decisions or service failures are plausible churn vectors. Capital funds meters, communications, IT, and reinstallation.

Smart Metering Systems

METER ASSET OWNERSHIP

Reference data. FY2022 ILARR rose 13% to GBP97.1 million; pre-exceptional EBITDA was GBP63.8 million on GBP135.5 million revenue, or 47.1%. SMS installed 480,000 meters; its 2.17 million-meter pipeline implied about GBP50 million ILARR, or GBP23 per meter annually. Sustaining capex is undisclosed.

Business. UK platform funding, installing, and managing supplier-facing smart meters for recurring rent and data income; batteries and EV-charging are excluded.

Economics. Unit: owned contracted meter. Ownership and workflow integration support tenure; rollout and supplier procurement drive growth and service utilization. Hardware-plus-installation makes replacement capital heavy.

Calisen

METER ASSET OWNERSHIP

Reference data. 2023 MAP revenue: GBP293.9m vs GBP236.2m; smart meters: 12.0m vs 8.2m. Group EBITDA/revenue: GBP265.4m/GBP358.2m (74.1%). Total capex: GBP355.5m; meter depreciation: GBP144.8m; capex/rent per meter: GBP219/GBP23.8 annually. Retailer orders: month-to-month; arrangements: 15 years; meter lives: 10-20 years.

Business. UK asset owner funding meters for energy retailers; the benchmark centers on MAP Services and excludes EV charging, heat pumps, and other transition activities.

Economics. Unit: owned revenue-generating meter. Policy drives installs; charges can survive supplier switching.

Energy Assets

MIXED METERING & UTILITY SERVICES

Reference data. Energy Assets manages more than 1.5 million assets. Clean segment revenue, EBITDA, sustaining capex, churn and contract-term disclosures are unavailable, so its company data do not anchor the numerical estimates.

Business. UK metering-and-data provider inside a wider network construction, ownership, water, fibre, and utility-services platform; customers need compliant metering, data, and field service.

Economics. Unit: installed asset with attached data/service. The offering spans recurring metering/data, installation, exchanges, and maintenance; public sources do not quantify revenue mix.

Liquid Environmental Services Operating Benchmark

PAGE 1 | ESTIMATES

SUBVERTICAL LENS

Two models should remain separate: installed onsite oil systems and route-based collection, treatment and processing. Onsite embedding supports tenure; route density and owned treatment support margin, but increase fleet and plant utilization exposure.

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	Onsite 8% Route 9%	The 8% onsite estimate reflects installed-kitchen wins, pricing and throughput across RTI's 45,000-plus sites. The 9% route estimate reflects modestly greater upside from density, cross-sell and treatment throughput.	MEDIUM
EBITDA margin	Onsite 21% Route 28%	The 21% onsite estimate is mechanism-based because RTI has no standalone margin disclosure. The 28% route estimate is set below historical S&P commentary citing LES margins above 30%, allowing for dated evidence, mixed services and third-party disposal.	MEDIUM-LOW
Maintenance capex / revenue	Onsite Not estimated Route Not estimated	Onsite sustaining capital should rise with provider-owned tanks, pumps, filters and monitoring hardware, short replacement cycles and a dispersed installed base; it should fall with long-lived standardized systems, customer-funded installation and dense service routes. Route sustaining capital should rise with aging vacuum trucks, treatment-plant intensity, corrosive waste streams and environmental controls; it should fall with newer fleets, outsourced disposal and high throughput per asset. Neither segment discloses a clean sustaining-capex split, so neither is estimated.	LOW
Customer tenor INITIAL / EFFECTIVE	Onsite Not estimated Route Not estimated	Customer tenure should lengthen for onsite systems when provider-funded equipment, workflow integration and bundled monitoring, compliance and maintenance raise switching costs; it should shorten when customers own equipment, sites close or service fails. Route tenure should lengthen with recurring compliance needs, bundled services, dedicated capacity and reliable local processing, and shorten with per-pickup bidding, price competition and service failures. Neither segment discloses standard initial terms, churn cohorts or average customer life, so neither initial nor effective tenure is estimated.	LOW
Utilization exposure	Onsite Moderate Route Moderate-High	Onsite exposure is Moderate because deployed equipment remains in place, but gallons per kitchen and depot density affect economics. Route exposure is Moderate-High because stops per route, truck productivity and plant throughput determine contribution.	MEDIUM
New-unit / customer payback	Onsite Not estimated Route Not estimated	Onsite payback should shorten with low equipment and installation cost, high recurring contribution, multi-site wins, dense service routes and long retention, and lengthen with plumbing complexity, frequent service and early removals. Route-customer payback should shorten with low acquisition and container cost, high gallons per stop, dense routes, internal treatment and durable retention, and lengthen with long hauls, low volumes, third-party disposal and churn. Neither segment discloses cohort-level capital, contribution or acquisition-cost inputs, so neither is estimated.	LOW
B2B vs B2C	Onsite Predominantly B2B Route Predominantly B2B	Both archetypes are predominantly B2B because RTI serves commercial kitchens and institutions, while LES and WRM focus on commercial and industrial generators. Wind River's residential exposure does not change the route-processing center.	HIGH

SUBSECTOR
CATEGORIES

Installed onsite oil systems
Restaurant Technologies

Commercial liquid-waste routes
Liquid Environmental Solutions / Waste Resources
Management

Diversified wastewater services
Wind River Environmental

Restaurant Technologies

INSTALLED ONSITE OIL SYSTEMS

Reference data. RTI serves 45,000-plus kitchens through 41 depots; about 60% of 2022 revenue was QSR-related, and S&P expected low-teens growth in 2018. RTI advertises average customer savings of \$250 and 9 labor hours per week; current margin, maintenance capex, contract terms and provider contribution are undisclosed.

Business. Installs automated cooking-oil systems and provides fresh-oil delivery, filtration, monitoring, used-oil removal, and recycling, solving kitchen labor, safety, quality, and disposal problems.

Economics. Unit: installed location; gallons measure usage and depot routes service capacity. Revenue mixes product, service, equipment, and recovery value. Equipment/workflow embedding retains customers; closures, operator changes, low throughput, service failures, or repricing cause churn.

Liquid Environmental Solutions

COMMERCIAL LIQUID-WASTE ROUTES

Reference data. LES expanded from 49 branches/20 recycling facilities historically and 54 branches/24 treatment plants in 2019 to 95 facility or partner sites and 129,500 customer locations by 2026. Historical S&P commentary cited ratings-adjusted EBITDA margins above 30%; current scale includes 670 field vehicles, versus 300-plus vacuum trucks in earlier releases.

Business. Collects, transports, treats, recycles, and disposes of grease, used oil, wastewater, grit, and related streams for commercial/industrial customers needing recurring sanitation and compliance.

Economics. Units: route customer for payback, truck/route for utilization, treatment plant for margin. Revenue mixes service, hauling, treatment/disposal, and recovery value. Plants and permits capture spread; recurring need, reliability, and processing access retain accounts.

Waste Resources Management

COMMERCIAL LIQUID-WASTE ROUTES

Reference data. WRM serves 10,000-plus clients in four states; a 2026 transaction adds 13 metros, and the company has 300-plus employees. Revenue, EBITDA, maintenance capex and contract terms are undisclosed; the McDonald Farms combination broadens the service mix beyond pure grease routes.

Business. Grease-centered platform collecting, processing, transporting, and recycling liquid waste while cross-selling jetting, trap repair, plumbing, septic, sludge, and remediation to commercial/institutional sites.

Economics. Unit: route customer linked to shared processing. Revenue mixes collection, treatment, recovery, transport, and field work. Vertical integration and bundled reliability retain accounts; switching remains easier than onsite equipment. Capital includes vacuum trucks, specialty units, pumps, tanks, and processing assets.

Wind River Environmental

DIVERSIFIED WASTEWATER SERVICES

Reference data. Wind River has 1,000 vehicles and 16 plants processing 200 million-plus gallons annually across 16 states, plus 90-plus acquisitions and a 75-plus-year operating legacy. It explicitly serves residential and commercial customers; revenue, EBITDA, maintenance capex and contract terms are undisclosed.

Business. East Coast consolidator spanning residential septic, commercial grease, plumbing/drains, municipal-industrial wastewater, specialty services, and treatment management, solving backup, compliance, and downtime risks.

Economics. Unit: route/service customer; plants drive network margin. Revenue mixes routes, septic cycles, emergencies, and projects. Local trust, recurring need, disposal access, and response retain customers; service inconsistency, competition, and integration cause churn.

Transportation Solutions Operating Benchmark

SUBVERTICAL LENS

Four models require separate estimates: railcar leasing, locomotive leasing, airport GSE leasing and outsourced yard logistics. Asset lessors earn higher margins with heavier reinvestment; yard logistics is labor-led, lower-margin and much lighter-capital.

METRIC	ESTIMATE		ASSERTION	CONFIDENCE
Revenue growth	Railcar 4%	Loco 6%	Railcar growth is held to 4% because mature fleets depend mainly on rate, utilization and measured additions; locomotives receive 6% for modernization demand. GSE and yard services receive 8% and 7% for outsourcing, electrification and new-site wins.	LOW
	GSE 8%	Yard 7%		
EBITDA margin	Railcar 58%	Loco 62%	Railcar and locomotive estimates remain high because lease revenue sits on long-lived assets; the 62% locomotive estimate is normalized below Akiem's roughly 68% result. GSE carries workshop costs, while yard services are labor-led.	MEDIUM
	GSE 30%	Yard 14%		
Maintenance capex / revenue	Railcar 18%	Loco 18%	Railcar and locomotive estimates reflect overhaul, replacement, compliance and ERTMS work; GSE's 14% reflects refurbishment, batteries and workshop support. Yard services require only tractors and technology at 4%.	MEDIUM
	GSE 14%	Yard 4%		
Customer tenor INITIAL / EFFECTIVE	Railcar 4 / 9 yrs	Loco 7 / 12 yrs	Initial terms lengthen with asset value, approval burden and mobilization complexity, making locomotives longest and yard contracts shortest. Effective tenure is longer because fleets, airport packages and embedded yard operations are commonly renewed or refreshed.	LOW
	GSE 5 / 9 yrs	Yard 3 / 7 yrs		
Utilization exposure	Railcar Moderate	Loco Moderate	Rail exposure is Moderate because leased deployment matters but assets can be redeployed across long economic lives. GSE adds station activity and spare-fleet risk, while yard services are High because contribution depends on productive labor hours.	LOW
	GSE Moderate-High	Yard High		
New-unit / customer payback	Railcar 9 yrs	Loco 10 yrs	Rail assets receive nine-to-ten-year paybacks because high upfront cost must be recovered over multiple placements and residual value matters. GSE is cheaper but service-heavy at 5.5 years, while yard launch spend can recover in about 1.5 years.	LOW
	GSE 5.5 yrs	Yard 1.5 yrs		
B2B vs B2C	All models Predominantly B2B		All four models are predominantly B2B because contractual buyers are rail operators, public authorities, airports, ground handlers, industrial firms and logistics providers. The benchmarked operations have no meaningful direct consumer revenue.	LOW

SUBSECTOR CATEGORIES	Railcar leasing VTG	Locomotive leasing Akiem	Airport GSE leasing Air Rail / TCR	Yard logistics Lazer Logistics
VTG RAILCAR LEASING	Reference data. 2024 operating cash flow was EUR405m and fixed-asset investment EUR536m, mainly new wagons and maintenance; tank-wagon utilization stayed high, intermodal utilization softened and rental pricing was positive. Customers hire wagons medium-to-long term, including a cited 10-year agreement, and are industrial shippers, rail operators and logistics firms. Standalone leasing EBITDA, sustaining capex and unit payback are undisclosed. Business. Leases and manages European freight wagons for industrial shippers and rail operators. Economics. Unit: earning wagon; revenue: recurring lease plus services. Customers avoid capital and secure compliant, cargo-specific capacity.	Akiem LOCOMOTIVE LEASING		Lazer Logistics YARD LOGISTICS
		Reference data. 2021: 600-plus locomotives, 46 passenger trains, EUR220m revenue and EUR150m EBITDA, or roughly 68%. A EUR1.52bn 2026 refinancing, major OEM orders and ERTMS upgrades on about 250 locomotives support expansion. Customers include carriers, manufacturers and local authorities; weighted tenor, utilization, sustaining capex and payback are undisclosed. Business. Leases and maintains locomotives and some passenger rolling stock across Europe. Economics. Unit: locomotive under lease/full service. Operators outsource scarce, compliant traction.		Reference data. EQT reports 550-plus sites, 5,000 employees, 6,000 fleet assets and 9m annual service hours. Lazer expanded through acquisitions and serves logistics, manufacturing, food, retail and consumer-goods companies. Its labor-led site programs are embedded but rebiddable; organic growth, EBITDA, contract tenure, labor utilization, sustaining capex and site-launch payback are undisclosed. Business. Runs warehouse and industrial yards using drivers, equipment, processes and technology. Economics. Unit: site contract/service hour. Recurring site and labor revenue solves trailer-flow bottlenecks.
	Air Rail AIRPORT GSE LEASING		TCR AIRPORT GSE LEASING	
	Reference data. Air Rail expanded from 180 units in 2014 to 4,700-plus by March 2026 across about 60 airports and eight countries; 68% of motorized units were electric. It serves airports, airlines and handlers through rental, maintenance, parts, resale and reconditioning. Segment revenue, EBITDA, sustaining capex, contract tenure, utilization and payback are undisclosed. Business. AIR RAIL, S.L. leases, maintains and refurbishes airport GSE; it also has rail activities. Economics. Unit: deployed GSE/station package. Rental, maintenance, parts and resale solve airline/handler capex and uptime needs. Airport service embeds relationships; rebids and transfer friction cause churn.		Reference data. TCR has 44,000-plus assets, 100-plus workshops, about 1,000 technicians and 200-plus airports. GIP describes long-term customer relationships; TCR provides multi-year fleet planning, refurbishment, electrification, fleet right-sizing and used-equipment resale for handlers, airlines and airports. EBITDA, sustaining capex, weighted tenor, paid utilization and unit payback are undisclosed. Business. Rents, maintains, refurbishes and electrifies GSE for airlines, handlers and airports. Economics. Unit: GSE/airport fleet package. Full-service rent and lifecycle services solve turnaround uptime and capital needs.	

Specialty Rental Operating Benchmark

SUBVERTICAL LENS

Consumer storage, B2B storage, modular space and trench safety differ in rental duration, service intensity and capital recovery. Simple standardized assets generally support stronger margins and conversion, while modular and project-driven fleets carry greater reset or utilization risk.

METRIC	ESTIMATE		ASSERTION	CONFIDENCE
Revenue growth	Consumer Not estimated	B2B storage 5%	Consumer storage growth should rise with housing turnover, renovation, household dislocation, pricing and local container capacity; slower moves, higher acquisition cost and delivery constraints reduce it. Retained B2B, modular and trench estimates reflect rate, fleet additions and project demand.	MEDIUM
	Modular 6%	Trench 6%		
EBITDA margin	Consumer Not estimated	B2B storage 40%	Consumer margin rises with occupancy and route density but falls with acquisition and logistics cost. B2B storage at 40% is anchored to Mobile Mini (41.0%) and McGrath Portable Storage (40.2%). Modular at 34% is the rounded midpoint of Modulaire (31.4%) and McGrath Mobile Modular (36.3%); trench at 33% is mechanism-based.	MEDIUM
	Modular 34%	Trench 33%		
Maintenance capex / revenue	Consumer Not estimated	B2B storage 6%	Consumer sustaining capital should rise with asset age, damage, corrosion, road miles and repositioning; durable standardized containers, disciplined refurbishment and high recovery values reduce it. Retained B2B, modular and trench values reflect long asset lives, residuals and differing reset needs.	MEDIUM
	Modular 8%	Trench 7%		
Customer tenor INITIAL / EFFECTIVE	Consumer 1 mo / Not est.	B2B storage 3 mos / 4 yrs	PODS supports a one-month initial term. Effective consumer tenure should lengthen with uncertain move dates, extended renovations and passive monthly renewal, and shorten with defined moves, price pressure or easy substitution. B2B storage, modular and trench relationships persist through projects and repeat use.	MEDIUM
	Modular 18 mos / 7 yrs	Trench 2 mos / 5 yrs		
Utilization exposure	Consumer Not estimated	B2B storage Moderate	Consumer utilization exposure should rise with fixed local fleets, seasonal moving demand, depot imbalance and limited redeployment, and fall with broad coverage, flexible transfers and balanced demand. B2B storage and modular are Moderate; trench is High because inventory rolls off with projects.	MEDIUM
	Modular Moderate	Trench High		
New-unit / customer payback	Consumer Not estimated	B2B storage 4.5 yrs	Consumer payback should shorten with high occupancy, longer rentals, strong delivery economics and repeated reuse, and lengthen with acquisition cost, empty transport, yard expense, damage and idle time. Retained B2B, modular and trench values use General Finance's four-year revenue recovery evidence and allow for cost, maintenance and residual value.	MEDIUM
	Modular 6.0 yrs	Trench 3.5 yrs		
B2B vs B2C	Consumer Mixed; B2C lean	B2B storage Predominantly B2B	Consumer storage is mixed with a B2C lean because household moves are a material demand source. Storage, modular and trench customers are principally contractors, companies, schools, institutions, government bodies and utilities.	MEDIUM
	Modular Predominantly B2B	Trench Predominantly B2B		

SUBSECTOR CATEGORIES	Consumer moving & storage PODS	B2B portable storage Mobile Mini / General Finance Corporation	Modular space Modulaire Group / McGrath RentCorp	Trench safety rental Trench Plate Rental		
	PODS CONSUMER MOVING & STORAGE Reference data. PODS reports 2 million-plus long-distance moves and 7 million-plus deliveries; rentals renew monthly and serve residential and commercial moving/storage. Q3 2024 sales fell 7.5% and adjusted EBITDA fell 24%. Normalized margin, fleet count, sustaining capex, utilization, effective tenure and unit payback are not publicly disclosed. Business. Delivers containers for residential and commercial moving/storage. Economics. Unit: container-month plus move event; revenue is rent and logistics fees. Customers solve moves or renovations. PODS runs drivers, yards and linehaul; life-event completion causes churn.	Mobile Mini B2B PORTABLE STORAGE Reference data. In 2019, Storage rental revenue grew 4.0%, North America grew 6.3%, yield rose 3.5%, EBITDA margin was 41.0% and unit utilization was 79.1%. Month-based rentals served about 74,000 predominantly commercial customers. Assets had 30-year lives and 55% residual values; direct sustaining capex and cash payback were undisclosed. Business. Rented storage containers and ground-level offices to commercial users. Economics. Unit: box on rent; revenue was mostly rental. Branches deliver and refurbish simple assets solving temporary jobsite needs. Projects end placements, but accounts repeat.	General Finance Corporation B2B PORTABLE STORAGE Reference data. Typical leases averaged over 12 months and historical fleet utilization was 70%-85%. Management said revenue recovered original equipment cost within four years on average. Assets had 20-30-year lives and residuals up to 70%. North American leasing was commercial; segment EBITDA, sustaining capex and churn cohorts were undisclosed. Business. Rented containers, mobile offices and modular units through regional brands. Economics. Unit: fleet asset; revenue is lease plus sales. Customers need temporary space. GFC delivered, maintained and re-leased units; projects cause churn, while accounts repeat.	Modulaire Group MODULAR SPACE Reference data. In 1Q22, revenue was EUR370m and EBITDA EUR116m, a 31.4% margin; revenue per unit rose 5%, units on rent increased and utilization was 86%. Modulaire serves 52,000-plus public, infrastructure and enterprise customers and emphasizes fleet refurbishment. Weighted contract terms, sustaining capex, customer tenure and direct payback are undisclosed. Business. Rents and installs modular space for public, infrastructure and enterprise users. Economics. Unit: module on rent; revenue is lease/service. Customers need temporary space. Modulaire transports, installs and refurbishes units; installation and repeat projects support retention.	McGrath RentCorp MODULAR SPACE Reference data. 2025 adjusted EBITDA/revenue: Mobile Modular \$234.0m/\$645.1m (36.3%); Portable Storage \$37.3m/\$92.8m (40.2%). In-scope margin: 36.8%; consolidated: 38%, including TRS-RenTelco/Enviroplex. Portable Storage rental revenue fell 3%; utilization: 73.0%/60.8%. Initial terms: 12-24/1-12 months; storage rent: 2%-4% of cost monthly; asset life/residual: 18 years/50% and 25 years/62.5%. Business. Rents modular buildings and storage containers to businesses and institutions. Economics. Unit: module/container; revenue is rent plus delivery/service. Customers need classrooms, jobsite space or storage.	Trench Plate Rental TRENCH SAFETY RENTAL Reference data. Before its 2021 merger, Trench Plate Rental had 37 branches and 5,000-plus customers. Rentals to contractors and utilities were short and extendable; durable steel plates, shoring and safety systems were inspected and redeployed between projects. Revenue growth, EBITDA, sustaining capex, utilization, churn and payback were not disclosed. Business. Rented trench plates, shoring and safety systems to contractors and utilities. Economics. Unit: jobsite equipment set; revenue is rental/support. Branches solve mandatory excavation safety, then inspect and redeploy steel. Projects end rentals, but contractors repeat.